DUTIES TO CLIENTS

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Loyalty, Prudence, and Care

Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

Maste

Maste, CFA, is the sole director of Dov Services (Dov), a firm that sells financial products and advice. Maste directs Dov's authorized representatives to incorporate the Dov Client Protection Policy into their contracts with clients. The protection policy, which sets forth the terms for providing financial advice, states that it "contains a number of client protections designed to ensure that you (the client) receive the best possible advice and the maximum protection available under the law." The protection policy's terms (1) excuse Dov and its authorized representatives from various liabilities arising from their failure to act in a client's best interest, (2) relieve Dov and its authorized representatives of their duty to conduct suitability analyses of clients and investments, and (3) lead clients to believe that they cannot make claims against Dov or its representatives for violating securities law.

Maste's actions

A. violate the CFA Institute Code and Standards.
B. are appropriate because Dov and Maste fully disclose the terms of the Dov Client Protection Policy to clients.
C. are appropriate because Dov and Maste are free to negotiate the terms of advisory agreements with clients.

Analysis

A is correct. The terms of the Dov Client Protection Policy improperly attempt to use disclosure to relieve Dov and Maste of their fundamental ethical (and very likely legal) obligations to clients by limiting liability for failures to act in the client's best interests or to provide appropriate advice. Standard III(A) Loyalty, Prudence, and Care sets forth a duty of loyalty on the part of CFA Institute members and candidates to their clients and requires them to act for the benefit of their clients and to place their clients' interests before their own. In addition, Standard V(A) Diligence and Reasonable Basis requires members and candidates to provide diligent, independent, and thorough advice and to have a reasonable and adequate basis for investment action; Standard III(B) Fair Dealing requires members and candidates to conduct a suitability analysis for any investment recommendation to their clients; and Standard I(C) Misrepresentation says that members and candidates cannot make any misrepresentations relating to investment services. These components of the CFA Institute Code and Standards define the fundamental principles applicable to investment professionals and detail the conduct investors should expect from their financial advisers.

Category
Ethics Application

misrepresents the client's right to bring legal action for ethical and regulatory violations and appears to give the false impression that a client would benefit from its terms.

C is incorrect. Although in general, clients and advisers are free to negotiate the terms of advisory agreements, for advisers to use the client agreement to create a significant imbalance between the rights and obligations of the adviser and the client or to limit the fundamental ethical obligations of loyalty, prudence, and care to the client is improper.

Gaini

Gaini, CFA, is a commodities trader with a number of retail clients, including Laube, who opens a self-directed foreign exchange retail account for which Gaini does not advise on any trades. Laube signs Gaini's standard customer agreement, which contains provisions relating to margin requirements and liquidation in the event of margin deficits. The agreement authorizes Gaini, at his discretion, "to liquidate, without notice, any or all open positions in an account with insufficient margin."

Laube initially purchases two 100,000 US dollar/Swiss franc (USD/CHF) contracts and sets her margin requirement to $4,000. Laube then places two additional 100,000 USD/CHF "pending limit" orders that will execute if the contract trading prices reach a specified level. Each order has a different limit price, so one will execute before the other. Shortly after placing the orders, Laube goes on an extended vacation. While she is away, execution on the first limit order occurs, and the margin requirement increases to $6,000. Then, the next limit price is reached, and the second order executes, increasing the margin requirement to $8,000. After the trades, while Laube is still on vacation, her account balance drops to $6,900. Without notice, Gaini liquidates all positions in Laube's account, realizing a loss of $37,000 from the liquidation.

Gaini's actions

A. are appropriate because Gaini followed the policy and procedures set forth in Laube's client agreement.
B. violate the CFA Institute Code and Standards because Gaini has a duty to act in the best interest of Laube by protecting her financial position.
C. are inappropriate because Gaini could have met the margin requirement by liquidating only one foreign exchange contract position.

Analysis

A is correct. This case relates to Standard III(A) Loyalty, Prudence, and Care, which imposes on CFA Institute members and candidates a duty to act with loyalty, prudence, and care in their clients' best interests and in relation to other clients and the markets. However, the conduct that fulfills this responsibility depends on the nature of the relationship with the client. Laube self-directs her trades, which are executed by Gaini, who does not provide investment advice. Additionally, Laube freely contracts with Gaini regarding the consequences of insufficient margins in her account, and these policies and procedures are clearly set forth in her client agreement. Nothing indicates that Gaini misled Laube about the margin requirements or the liquidation procedures. Although the contractual provision authorizing liquidation without notice does not waive Laube's right to be dealt with in good faith, the margin and liquidation provisions are not an attempt by Gaini to waive his duty of loyalty, prudence, and care. They simply set forth the parameters of the relationship, which Gaini and Laube are free to negotiate. Although Laube suffered significant trading losses, Gaini liquidated Laube's open positions in accordance with the terms of the customer agreement, serving to protect the integrity of the market.

B is incorrect. Given the facts of this case, Gaini's responsibility to protect his own financial position and that of his other customers supersedes any duties he owes to Laube when she defaults on the margin requirements. Because of the limited nature of the relationship between Laube and Gaini, Gaini is not obligated to actively monitor Laube's account to protect her financial interests. Doing so would require Gaini to continuously monitor a

C is incorrect. Gaini is not obligated to use a less drastic alternative by closing only one foreign exchange contract position and does not breach a duty to Laube by liquidating all open positions when the parties have contractually agreed that total liquidation to meet a margin deficit may be done at Gaini's discretion without notice.

Braung

A regional government hires Braung, CFA, and his firm to serve as its financial adviser for issuing general obligation bonds. The municipality conducts several bond offerings over the years for constructing municipal facilities, including a maximum-security detention facility and two school buildings. In connection with the bond issues, Braung makes a number of trips to New York City to meet with ratings agencies. The trips are typically planned for a Monday or Friday because the costs for weekend travel are less. Braung's wife accompanies him on the trips, and they typically spend the weekend either before or after the meetings in New York City to enjoy sporting events, theater performances, and museums. Braung often makes a number of train and hotel changes after a trip is booked to accommodate meetings with other clients. Braung submits his travel expenses to his supervisor, who deducts costs she believes are unrelated to the business purpose of the trip and submits the bills to the municipality for reimbursement.

Which of the following expenses can most likely be billed to the government entity issuing the bonds?

A. Braung's accommodation and meal expenses for the weekend days because the travel rates are less expensive over a weekend
B. Tickets to the sporting and theater events, as long as they do not exceed a reasonable amount for business entertainment
C. Flight and hotel change fees that result from the regular course of Braung's business activities

Analysis

A is correct. This case relates to Standard III(A) Loyalty, Prudence, and Care, which states that CFA Institute members and candidates have a duty of loyalty to their clients, must act for their clients' benefit, and must place client interests before their own. Under this standard, investment professionals, including municipal security dealers, must not engage in any deceptive, dishonest, or unfair practice when handling client accounts. The savings in travel fees for booking a weekend travel schedule could be greater than the additional accommodation and meal expenses for Braung to stay the extra days in New York City, making the cost to the client lower. Under these circumstances, Braung would be meeting his duty of loyalty to the client by choosing the most inexpensive travel schedule overall, thus limiting costs to the client. Charging personal theater and sporting event tickets or travel change fees associated with seeing unrelated clients would not qualify as chargeable expenses to the client. The best scenario would be to detail in writing at the outset of the engagement which expenses would be considered reimbursable.

B is incorrect. In the context of conflicts of interest, the CFA Institute Code and Standards allow members and candidates to accept or provide modest gifts and entertainment in the ordinary course of business (a gift basket at the holidays from a vendor or to a client, for example). But that "ordinary course of business" does not allow investment professionals to charge clients for obviously extraneous entertainment expenses not connected to a business meeting. Charging excessive or lavish expenses for the personal benefit of the investment professional at the expense of the client can constitute a deceptive, dishonest, or unfair practice that violates Standard III(A).

C is incorrect. Although busy investment professionals might be forced by other priorities to change travel arrangements when a client trip has already been scheduled, additional expenses resulting from the change most likely must be borne by the investment professional (Braung) as an overhead cost, not charged to the client. (Under some limited

Fair Dealing

Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.

Scherzer

Scherzer, CFA, is the head of research at a large investment management firm. She publishes monthly "Recommendation Update Reports" to communicate to clients any investment recommendation changes her firm has made. The reports are sent to clients via email on the first Friday of the month and posted on the firm's website the following Monday. The firm's internal policy is that a change in recommendation can only be made once a month through this report. Scherzer also publishes weekly reports with information gathered by analysts that might implicitly signal a future change in recommendation or lead a reader to infer that a recommendation will be changing. Although the monthly "Recommendation Update Reports" are sent to all clients, clients who wish to receive the weekly publication must pay an annual fee of $1,000. This option is available to any client and is fully disclosed as part of every client agreement.

To comply with the CFA Institute Code and Standards, Scherzer is required to

A. do nothing because her actions comply with the Code and Standards.
B. publish the monthly report on the firm's website at the same time it is sent to clients.
C. send the weekly reports to all clients at no additional charge.

Analysis

A is correct. Standard III(B) Fair Dealing requires CFA Institute members and candidates to deal fairly and objectively with all clients when providing investment analysis and making investment recommendations. It also requires that information about investment recommendations be disseminated in such a manner that all clients have a fair opportunity to act on the information. Scherzer distributes the recommendation update reports to all clients simultaneously via email, giving each an opportunity to act on the information. Scherzer is also not limited by the Code and Standards in communicating with clients about investments only when an investment recommendation is provided and can provide updated or clarifying information to clients as appropriate. In addition, Scherzer does not violate the Code and Standards by providing weekly reports to clients who pay a subscription fee for the service as long as (1) all clients are eligible to purchase the service, (2) the different levels of service are disclosed to clients, and (3) no change in recommendations is made that would disadvantage existing clients who receive only the monthly report.

B is incorrect. The Code and Standards do not require Scherzer to publish the reports to the public on the firm's website.

C is incorrect. The Code and Standards allow CFA Institute members and candidates to provide more personal, specialized, or in-depth service to clients who are willing to pay for premium services through additional fees as long as (1) those services do not disadvantage other clients who do not pay additional fees, (2) the differing levels of service are disclosed to clients, and (3) the services are made available to all.

Suitability

1. When Members and Candidates are in an advisory relationship with a client, they must:

    a. Make a reasonable inquiry into a client's or prospective client's investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly.

making an investment recommendation or taking investment action.

c. Judge the suitability of investments in the context of the client's total portfolio.

2. When Members and Candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

Marte

Marte, CFA, is an asset manager in Puerto Rico, a US territory. Residents of Puerto Rico receive significant tax advantages when they invest in local securities. To capitalize on this advantage, Marte's firm offers its clients shares in a closed-end investment fund, organized under Puerto Rico's financial laws and regulations, that holds at least 67% local securities and is permitted to borrow against up to 50% of its assets. The fund is usually leveraged to the extent legally permitted. Many of Marte's clients have a modest net worth and conservative or moderate investment objectives. Marte convinces them to invest 85% or more of their assets in shares of the closed-end fund.

Marte's actions

A. violate the CFA Institute Code and Standards.
B. are appropriate because they take advantage of the fund's unique tax benefits for his clients.
C. are appropriate as long as Marte fully discloses the risks and benefits of the fund to his clients.

Analysis

A is correct. Standard III(C) Suitability states that CFA Institute members and candidates in an advisory relationship with clients must "determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action." Given the financial circumstances and conservative investment objectives of his clients, the high concentration of the fund's shares in his clients' accounts, combined with the leverage, makes the large investment in the fund unsuitable because greater portfolio diversification is needed. Despite the tax advantages, highly concentrated investments carry an increased risk that a single market event affecting the value of the fund's shares would significantly decrease the total account value. This risk is exacerbated by the fact that the closed-end fund is internally leveraged, which could magnify the fund's loss during a market event that causes share values to drop steeply.

B is incorrect. Given the favorable tax advantages of the investment vehicle, investment in shares of the closed-end fund might be suitable and appropriate for his clients at some level. But given the financial circumstances and investment objectives of his clients, the high concentration, combined with the leverage, makes the large investment in the fund unsuitable.

C is incorrect. Although Marte should always fully disclose the risks and benefits of his recommendations to his clients, doing so does not take away the need for the investment to be suitable for the clients' financial circumstances, risk tolerance, and investment goals.

Duri

Duri, CFA, is a registered account representative providing financial advice to retail clients. She is also a principal partner of Tabak Accountants. Duri assists a number of advisory clients who want to move their retirement assets from existing superannuation (pension) accounts to self-managed superannuation funds (SMSFs) that have the goal of investing in direct residential property. When clients express interest in these types of SMSFs, Duri accepts their reasons for wanting to invest in direct property and assumes that they have the time and expertise to manage their superannuation affairs. She reclassifies their investment objectives as "growth" to match the new investment strategy. Duri charges her

Duri's actions

A. violate the CFA Institute Code and Standards.
B. are acceptable because she is following the directives of her clients.
C. are acceptable if the services provided by Tabak Accountants are reasonable and the costs of services are competitive.

Analysis

A is correct. Standard III(C) Suitability requires CFA Institute members and candidates in an advisory relationship to make a reasonable inquiry into a client's investment experience, risk and return objectives, and financial constraints to determine whether an investment is suitable for the client's financial situation and consistent with the client's objectives and mandates before taking investment action. When Duri's clients want to move their retirement assets into an SMSF that invests in direct residential property, Duri appears to accept their reasoning without conducting a suitability analysis. The case does not indicate whether Duri did any of the following:

- Assess the reasons a client wants to invest in direct property
- Consider the client's financial goals
- Compare the benefits, risks, and costs associated with establishing an SMSF or owning rental property to existing superannuation account investment alternatives
- Consider asset diversification
- Determine whether the client intends to draw a pension from the SMSF once the individual reaches retirement or how the client will do that with an illiquid asset, such as investment property
- Evaluate whether the client has the time and expertise to manage his or her superannuation affairs, including managing a rental property
- Consider whether the SMSF investment strategy will remain viable if the client's income is reduced or the property is unoccupied for a period of time

Without analyzing these and other factors, for Duri to move her clients to the SMSFs would be inappropriate.

B is incorrect. If her clients request a change in their investment strategy, Duri has a responsibility as their investment adviser to conduct an analysis to ensure that the new direction is suitable and appropriate. Duri appears to have classified all clients as growth investors to superficially justify their investment in an SMSF vehicle without analyzing whether this classification was an accurate assessment.

C is incorrect. Duri appears to be recommending that her firm provide clients with accounting services for the SMSF investments to create additional income for herself. But Standard III(A) Loyalty, Prudence, and Care requires members and candidates to act for the benefit of their clients and to place their clients' interests before their own. At a minimum, Duri's relationship with Tabak must be fully disclosed to clients as a potential conflict of interest.

Performance Presentation

When communicating investment performance information, Members and Candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

Jergenn

Jergenn, CFA, is the portfolio manager for the Volare Investment Management (VIM) fund, a registered collective investment scheme (CIS) organized under the laws of South Africa. VIM's 2022 regulatory disclosure and marketing material for the fund, produced by Jergenn, presents annual investment performance data for the 2014–20 period that is accurate and calculated correctly. The performance history is that of a composite of

In presenting the fund's performance history, Jergenn's actions

A. violate the CFA Institute Code and Standards.
B. are appropriate because the investment performance is accurate.
C. are appropriate as long as the performance calculations are net of fees.

Analysis

A is correct. Standard III(D) Performance Presentation states that CFA Institute members and candidates must make a reasonable effort to ensure that investment performance information is fair, accurate, and complete. Although the performance information presented by Jergenn is calculated correctly and includes technically accurate data, Jergenn's failure to indicate clearly that the performance data applied to a period before the VIM fund was registered as a CIS has the potential to mislead investors into believing that the CIS fund had a long track record. To meet the "fair, accurate, and complete" requirement of the standard, Jergenn should disclose that the 2014–20 performance history was for a prior but similar entity with the same investment strategy and objectives and that the VIM fund, as a CIS, has been in existence only since 2021.

B is incorrect. Although the performance is accurate and correctly calculated, the lack of disclosure about the nature of the accounts makes the presentation misleading.

C is incorrect. Performance can be presented either net or gross of fees as long as investors are sufficiently informed about how the performance is calculated and what effect fees might have on the returns.

Preservation of Confidentiality

Members and Candidates must keep information about current, former, and prospective clients confidential unless:

1. The information concerns illegal activities on the part of the client or prospective client,
2. Disclosure is required by law, or
3. The client or prospective client permits disclosure of the information.

Giddings and Marsh

Giddings, CFA, is responsible for compliance at GWH, a large broker/dealer and investment adviser. In connection with GWH's wealth management business, the company maintains personally identifiable information (names, addresses, phone numbers, account numbers, balances, and holdings) of its clients. Giddings adopts a number of policies and restrictions, including a Code of Conduct, that address employees' access to and handling of this confidential information. Marsh, CFA, who works for GWH as a client services associate, decides to download client data to his personal server located at his residence to facilitate his telecommuting. Marsh's server is hacked, and portions of the personal client information Marsh downloaded are posted for sale on the internet.

Did either Marsh or Giddings violate the CFA Institute Code and Standards?

A. Marsh violated the Code and Standards.
B. Giddings violated the Code and Standards.
C. Both Marsh and Giddings violated the Code and Standards.

Analysis

C is correct. Standard III(E) Preservation of Confidentiality requires that CFA Institute members and candidates keep information about current, former, and prospective clients confidential unless the information concerns illegal activities, disclosure is required by law, or the client permits disclosure. Although the standard does not require investment professionals to be information security experts, they must make reasonable efforts to prevent the accidental distribution of confidential information by following compliance procedures. Assuming Marsh did not have permission to download client data to his personal server, his misappropriation of client information for his own purposes is a

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

understand and follow the firm's electronic information communication and storage procedures.

As the compliance officer, Giddings is responsible for implementing sufficient compliance policies and procedures reasonably designed to protect client information. He is responsible for ensuring the confidentiality of customer information, protecting against any potential threats to the security or integrity of the records, and preventing unauthorized access or use of client information that could harm GWH clients. Although GWH has policies restricting access to and handling of client information, the extent of those safeguards was apparently insufficient because Marsh was able to download company files to his personal computer. The fact that client information was accessed and published makes the effectiveness of Giddings's compliance efforts questionable. Even if the policies were sufficient, nothing indicates that Giddings audited and/or tested the effectiveness of the safeguards meant to keep client information confidential.

A is incorrect. Both Marsh and Giddings violated the Code and Standards.

B is incorrect. Both Marsh and Giddings violated the Code and Standards.

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Discussion

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Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search